In 2023, as per United Nations demographic projections, India will overtake China to become the world's most populous country. China crossed the one billion milestone in the early 1980s when India's population was around 800 million. Since then, the one-child policy and rapid economic growth dramatically altered the demographic trajectory of China as birth rates crashed and its population began to stabilise around the 1.4 billion mark. In India, weaker family planning policy enforcement and slower economic growth sustained higher fertility rates, facilitating a rapid catch-up. By some estimates, China is set for a demographic implosion and will be replaced by fast-growing Nigeria as the second most populous country by the end of the 21st century. India, however, is all set to remain the most populous country for the rest of the century. How did India arrive at this milestone, at what level will its population peak, and what are the implications?

India's demographic expansion from a few hundred million to over a billion people began in the 1920s. While the Indian population fluctuated from census to census in the five decades before 1921 due to high-mortality events such as famines and pandemics, its population has increased in every decade since. A better understanding of famine and disease prevention and an improvement of healthcare facilities led to death rates (infant mortality and maternal mortality in particular) falling rapidly over the course of the 20th century. Birth rates, however, began to fall only in the 1960s, partly in response to falling infant mortality rates, and also because of greater usage of contraceptive methods. Rapid population growth rates, a major policy concern since the 1950s, eventually led to mass sterilisation camps in 1976 during the Emergency and a massive backlash against coerced family planning schemes.

It was then thought that lowering birth rates could lead to greater economic development, but the global experience of the past five decades has shown that the causal link was the opposite, or as some have said, 'Development is the best contraceptive.' Simply put, richer and better-educated families chose to have fewer children. This was best illustrated in the country as south India developed faster than the hinterland north and this was accompanied by sharp fertility reductions and lower population growth rates. India's population growth rates peaked in the 1980s at a little over 2 per cent per annum and began to fall thereafter. As population growth rates began to fall, a new communal issue found political salience. Religious nationalists argued that while natural population growth rates were falling, they were falling much faster among Hindus than Muslims. It was further argued that if not checked, Muslims would eventually outnumber Hindus in India. While birth rates were higher among Muslims than Hindus, the differences were exaggerated, and the share of Muslims in India increased only marginally by a few percentage points since 1961 to about 14 per cent in 2011. But the share of Hindus in the global population also rose from about 12 per cent to 14 per cent since overall population growth rates were so much higher in India than elsewhere in the world.

Demographic transitions from high birth and death rates to low birth and death rates change the age cohort structures of populations, leading to what economists call the 'demographic dividend'. In this transition, the share of the working age population (15-65) in the total goes up first and then begins to decline when the share of older age cohorts (65+) grows significantly. The first phase leads to a dividend in terms of greater productive capacity of the population. India is undergoing that phase, but several states, such as Kerala and Tamil Nadu, have moved on to the second phase and are ageing rapidly.

In the past two decades, the pace of fertility reduction intensified in India. Demographers talk of a statistic called Total Fertility Rate, and a value of 2.1 children per woman reflects a broadly stable population, one which replaces itself every generation. Recent data shows India's total fertility rate to be under 2.1, ranging widely from Bihar's 2.98 to Sikkim's 1.1. Slower population growth rates hereafter imply that India's population, currently 1.4 billion, is likely to peak at around 1.7 billion a few decades from now.

> CURRENTLY, WE ARE IN A DEMOGRAPHIC DIVIDEND PHASE, BUT **INDIA WILL ALSO AGE RAPIDLY**

There are at least three clear implications of India's current and foreseeable demographic journey. First, India's lead over China in terms of population is going to widen significantly in the coming decades to hundreds of millions of people. If India's per capita income also rises significantly, India could be a bigger market and economy than China by 2050. This would give tremendous geopolitical heft and India would finally be hyphenated with the US and China as the major powers of the world.

Second, within India, the massive differences opening up between north and south India will strain the federal system, especially in considerations of reallocation of seats in the Lok Sabha. Delimitation exercises would disadvantage southern Indian states and, in fact, penalise them for developing faster than the north through lower seat shares in Parliament. Separately, north-south differences could also draw in more migration from the north to the south just as ageing societies in the West are absorbing more immigrants to prop up their economies.

Finally, amidst talks of being a young country relative to Japan and China, the share of the elderly population in the total population is going to grow fast hereafter. To support this population, the need for better fiscal management and incentives to work beyond the age of 65 will only increase. In ageing Japan, diapers for the elderly now outsell diapers for children. We have a few more decades to go before we reach that stage. ■